

ECON 0100 | Vignette B3 | Equilibrium

Due in Recitation. Vignettes are a certificate of the work done together in Recitation.

Members of the wizarding world have preferences for pumpkin pasties according to the following demand curve:

$$P_d = 14 - \frac{1}{2}Q_d \quad (1)$$

Pumpkin pasties are produced by many sellers according to the following supply curve:

$$P = 2 + \frac{1}{2}Q_s \quad (2)$$

Prices are in galleons and quantity is in pasties.

Q1 | Equilibrium

Find and plot the equilibrium price and quantity for pumpkin pasties.

Q2 | Surplus

Find and plot the consumer and producer surplus in the market equilibrium you found in Q1.

ECON 0100 | Vignette B4 | Efficiency

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The supply and demand curves for pumpkin pasties are giving in **Vignette B3**.

Q1 | Price Ceiling

The Ministry of Magic decided to institute a price ceiling of 7 galleons to allow many more to afford the treat. Use a graph to evaluate the welfare effects this policy had on the market: label and calculate CS, PS, DWL, and which direction incentives push prices due to this policy.

CS: _____

PS: _____

DWL: _____

Shortage/Excess: _____

Direction incentives push prices: _____

Q2 | Price Floor

The Ministry of Magic decided that the market price wasn't sufficiently high enough for sellers, and decided to institute a price floor of 11 galleons to raise the price. Use a graph to evaluate the welfare effects this policy had on the market.

CS: _____

PS: _____

DWL: _____

Shortage/Excess: _____

Direction incentives push prices: _____